BRAZILIAN E-COMMERCE ANALYSIS:
Order Economics, Payment Behaviour, and Delivery SLA Performance

1. Executive Overview

This report evaluates Olist's e-commerce marketplace operations to identify performance bottleneck and commercial opportunities. By combining order-level metrics with business logic, the analysis focuses on four key operational drivers: customer payment preferences, installment financing behaviour, shipping costs on low-value orders, and delivery SLA precision.
The goal of this analysis is to provide clear, actionable strategic recommendations to optimize checkout conversion rates, protect profit margins, and strengthen overall logistics competitiveness.

2. Core Commercial Insights

- **Credit Card Volume and Revenue Dominance:** Credit cards serve as the main revenue engine for the platform, driving both the highest order volume and significantly larger basket sizes (Average Order Value) compared to traditional alternative options like Boleto.
- **High-Ticket Financing Demand:** Payment dynamics reveal a distinct secondary peak at 8 to 10 credit card installments. Customers rely heavily on multi-month financing specifically when purchasing higher-value goods.
- **Low-Value Order Freight Burden:** Orders under R$ 50 carry an unsustainably high shipping-to-product value ratio (Freight Burden Ratio). High shipping costs relative to product prices create friction at checkout, leading to cart abandonment.
- **Logistics SLA Over-Buffering:** The logistics network consistently delivers packages 10 to 15 days ahead of the estimated arrival date provided to customers during checkout. While operational execution is fast, the conservative estimated timelines create an unnecessary barrier to sales conversions.

3. Strategic Recommendations

1) **Implement Credit Card Loyalty Incentives**
   Introduce targeted cashback or loyalty reward points for credit card users at checkout. Rewarding the platform's primary revenue channel encourages repeat purchases and accelerates cash-flow velocity.

2) **Deploy Tiered Installment Displays for Premium Products**
   Focus multi-month financing options (8-10 installments) strictly on higher-ticket items (e.g. orders above R$ 200). On product pages for premium items, highlight the manageable monthly cost (e.g. “Own it for R$ 20/month”) to reduce upfront price shock without sacrificing margins on small orders.
3) **Expand PUDO Lockers and Local Pickup Points**
   Integrate local Pick-Up/Drop-Off (PUDO) lockers in high-density areas for lower-cost purchases. Giving budget-conscious buyers an affordable self-collection alternative lowers the relative shipping fee without hurting seller margins or delivery speed.
4) **Calibrate Dynamic Checkout Delivery Estimates**
   Update the checkout delivery algorithm to reflect actual courier speeds, reducing promised timelines by 5 to 7 days. Displaying faster, realistic delivery dates removes artificial friction and directly improves checkout conversion rates against competitors.

4. Analytical Methodology Note

Operational Tolerance Window: From a pure mathematical perspective, an on-time delivery is defined by zero variance from the target date. However, to account for real-world courier fluctuations, a 2-day operational buffer (-2 to 0 days) was applied to define standard “On-Time” performance. This isolates normal operational variance from extreme early arrivals while maintaining data integrity.

5. Actionable Next Steps

- **Checkout ETA A/B Testing:** Launch a 60-day controlled pilot test on checkout delivery promises to measure the exact conversion rate uplift achieved by displaying faster, realistic delivery dates.
- **Geographic Logistics Audit:** Perform a spatial order density breakdown by state to prioritize optimal urban corridors for PUDO locker installation.